

Coffee and local exchange

A practical masterclass for Nouns Money



Nouns Money

Local coffee and resources

**DEMO ONLY —
ALL PROVIDERS
HYPOTHETICAL**



DEMO Cafe A
5 filter coffees · \$20

-  12 oz · pickup
-  Plan: next 30 days
-  Capacity: 50 cups
-  Backing: merchant promise
-  Refund: unused value
-  Fees: \$0 · no resale



DEMO Bakery B
2 loaves · \$16

-  Pickup next Saturday
-  Capacity: 20 loaves
-  Backing: production plan
-  Refund if unavailable
-  Fees: \$0 · no resale



DEMO Apiary C
500 g honey · \$12

-  Pickup next 14 days
-  Stock: 12 jars
-  Backing: listed inventory
-  Refund if unavailable
-  Fees: \$0 · no resale

Buy useful things. Know who owes delivery.

No checkout. No price speculation. No verified reserves.

 **CONCEPT ILLUSTRATION · NO MERCHANTS ENROLLED · NO MONEY COLLECTED**

Planning windows do not expire paid balances. All quantities and prices are illustrative.

Start with a clearly described future cup from one willing cafe. Learn how a real product, a payment and a delivery promise fit together before proposing a wider local marketplace.

Current project baseline: Nouns Money is trade-only art with no reserve. This document proposes educational experiments; it does not change the project's rules, enroll merchants, issue currency or promise redemption.

All offers, providers, quantities, prices and economics in this guide are hypothetical. No money has been collected. This is product education and a planning brief, not legal, investment or accounting advice. US / California is an illustrative review jurisdiction, not an assumed deployment location.

From coffee cherry to cup

A cup depends on several businesses, each with its own inventory, work, cash needs and exposure to delay. A cafe voucher ordinarily creates a claim against its issuer, not a direct claim on a farm or a warehouse.

1

GROW

Harvest and process cherries

2

MOVE

Mill, grade, export and ship

3

ROAST

Buy green beans and roast

4

BREW

Staff, equipment, water and service

5

REDEEM

Deliver the agreed cup or beans

Follow the promise: a customer prepays a cafe; the cafe owes delivery. The cafe may pay a roaster, who pays upstream suppliers. These are separate obligations unless contracts explicitly connect them.

Workshop exercise: draw the path of one dollar and one coffee bean. Mark who owns each asset, who can substitute a product and who bears a failed shipment. Do not call a cup farm-backed merely because coffee came from a farm.

Choose the thing being sold

The unit determines who carries price risk. Show it in plain language before a customer pays.

A dollar balance

Example: pay \$20 and receive \$20 of spending value at one named cafe. If menu prices rise, the same balance buys fewer cups. The merchant owes the remaining dollar balance under the applicable terms.

A specified product

Example: pay \$20 for five 12 oz filter coffees from one named cafe. Define milk, extras, taxes, locations and availability. The merchant carries more input-cost risk if it promises the same five cups despite inflation.

A timed physical order

Example: reserve two 500 g bags for pickup in a stated week. Specify roast, substitution consent, missed pickup and non-delivery refund rules. An order window and a gift-balance expiry are different things.

Words do not determine legal status

“Local coffee futures” can be a cultural working title. The operative product should be described accurately as a prepayment, voucher or physical order only if its actual terms qualify. A new label does not avoid regulation. Transferability, cash settlement, speculative marketing, leverage and contract design all need review. [1, 2]

Build now: an educational demo. Consider later: a reviewed merchant-specific pilot. Financial derivatives, exchange listings and investment trading are a separate gated project, not this roadmap.

The marketplace concept



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The dashboard makes the issuer and delivery obligation visible. Every provider is fictional. The quantities shown describe a proposed demonstration capacity or inventory claim, not verified stock.

Each offer needs: issuer legal name and contact; product and unit; total price including required charges; pickup or delivery location; planning window; stock or service capacity; evidence behind any backing claim; unused-value and failure refunds; fees; transfer rules; balance history and support route.

Start with useful deliverables: cups and beans, bread, honey, seasonal fruit, plants, workshop time and equipment bookings. Each category adds its own safety, quality, scheduling and refund requirements. Do not mint claims on public air, ocean, water or mineral rights without actual rights, permissions and legal review.

The small pilot economics

Illustrative worksheet: 10 adults each prepay \$20 for five specified coffees. The cafe would owe 50 cups. No actual sale or commitment is proposed here until consent and review are complete.

Cash collected		\$200
50 cups x \$2 variable cost		\$100
Payment and admin budget		\$10
Contribution before overhead		\$90

At issuance, the \$200 is cash received and an outstanding customer obligation, not \$200 of earned profit. At full redemption, \$200 revenue less \$100 variable cost and \$10 processing/admin leaves \$90 before rent, salaried labor, equipment, tax and other overhead. These are invented inputs, not cafe quotes. [3]

Stress the promise

If variable cost rises from \$2 to \$2.80 per cup, 50 cups cost \$140 and contribution falls to \$50. If it reaches \$4, the same program loses \$10 before fixed overhead. A fixed-cup promise shifts inflation risk toward the merchant.

If eight cups remain unused, the simplified unredeemed amount is $8 \times \$4 = \32 . Keep it in the obligation ledger. Do not count it as free profit or plan solvency around customers forgetting. Recognition of breakage and unclaimed-property duties require an accountant's review; mature-company experience does not establish a new pilot's redemption pattern.

Tax timing, discounts, refunds and transaction-price allocation can alter real accounting. The worksheet deliberately excludes tax from its invented inputs; actual advertised totals must disclose applicable tax and mandatory charges.

Cash and backing are different

A promise to deliver is not the same thing as cash held ready for refunds. Inventory is not cash. A screenshot is not proof of a protected reserve.

Operating cash model

If the cafe uses the \$200 immediately for payroll, rent or beans, the prepayment may help working capital. The same money is then not fully available for cash refunds. Customers are exposed to the issuer's continuing ability to operate and honor claims.

Restricted cash model

If the full \$200 remains untouched pending redemption, it supports liquidity for unused-value refunds but supplies little working capital. Paying the hypothetical \$10 fee from those receipts leaves \$190, so a genuinely fully funded \$200 refund pool would require a \$10 contribution from elsewhere.

What an honest disclosure says

Name the account holder, amount, date checked, permitted uses, reconciliation owner and withdrawal authority. "Segregated" must describe a real arrangement; it does not by itself make funds bankruptcy-proof, insured or legally held in trust. Professional review must determine that.

Pilot preference: use the cafe's existing compliant gift-credit process if suitable; leave customer funds with the merchant, not PointCast. Publish no reserve badge unless evidence supports its exact meaning. Maintain an unused-obligation total and a closure/refund response plan.

A familiar precedent is Starbucks' own statement that loaded value is a prepayment, is not FDIC-insured and earns no interest. That describes its product, not a legal template or an endorsement of this concept. [4]

Write consumer friendly terms

These are design requirements for counsel and the merchant to turn into actual terms. They are not ready-to-sign contract language.

Define redemption

State the exact product or dollar entitlement, issuer, acceptance locations and how partial use works. Issue a receipt showing previous balance, redeemed amount and remaining balance. Keep a human support channel and an offline fallback.

Preserve unused value

Assume no expiry, no dormancy fee and no penalty for slow use in the pilot design. A 30-day planning window helps staffing; it must not silently erase a paid balance. Explain substitutions and obtain consent rather than changing the promise after payment.

Make refunds workable

Propose a refund of unused paid value on request for this tiny pilot, with a clearly defined allocation for partially used bundles. Honor mandatory cash-out rights regardless. Name the responsible merchant and the process if service stops; do not promise guaranteed recovery from an insolvent cafe.

Limit complexity

No auto-reload, no platform fee, no secondary resale and no cross-merchant use in the first test. Distinguish gifting from resale, and have restrictions reviewed rather than assuming they are enforceable.

California Civil Code 1749.5 generally prohibits expiration and service fees for covered certificates, with exceptions. Since April 1, 2026, covered cash values under \$15 are redeemable in cash. The statute includes a perishable-food exception; do not assume it applies. Federal Regulation E provides additional gift-card requirements. Review definitions and jurisdiction before sale. [5, 6]

Operate a reliable redemption

The hard part is keeping the promise correct when two people redeem at once, a phone dies or a customer wants the remaining money back.

01 Issue

Create a unique receipt, issuer ID, product terms version, payment reference and quantity/value ledger. Collect only the contact information needed for the service; never store card credentials in the demo.

02 Redeem

Merchant checks the balance, obtains customer confirmation and records one uniquely identified redemption. Reject duplicate requests; allow a reviewed reversal for genuine mistakes. A QR code alone is not a security model.

03 Reconcile

Daily: opening obligation + new prepaid value - redemptions - refunds = closing obligation. Compare receipt totals, merchant records and cash movements. Investigate discrepancies before new sales.

04 Resolve

Customer support checks the receipt, corrects errors and records refunds with references. Freeze new issuance when the merchant cannot deliver; stop marketing and contact affected customers through the agreed channel.

Minimum audit trail: timestamp, offer, issuer, event type, amount/units, balance before and after, staff identifier and reversal link. Limit access, define retention, back up the ledger and provide a plain-language privacy notice.

One cafe before a network

A single issuer can redeem its own promise. A network creates a second obligation: someone must reimburse the merchant that serves the customer.

Single cafe

Buyer prepays Cafe A. Cafe A records the liability and supplies the coffee. A demo directory can describe that arrangement without taking custody of money or implying any other merchant accepts the credit.

Multiple merchants

Suppose A issued a \$20 balance and B accepts \$4 of it. B needs a contractual reimbursement claim against A or a network operator. Define who owes whom, the settlement amount, fees, payment timing, chargeback allocation, dispute handling and what happens if A fails before B gets paid.

Do not silently equate one cafe's cup with another's. Price, serving size and reimbursement may differ. Shared branding does not make credits fungible. Netting obligations can reduce transfers but also hide growing counterparty exposure.

Network gate

Before cross-merchant acceptance: signed merchant agreements; reviewed payments/stored-value and money-transmission treatment; qualified fund-handling design; tax/accounting review; settlement liquidity; tested refunds; merchant exit plan and clear customer recourse. Avoid asserting an exemption from the small pilot's size.

The producer benefit is more predictable demand and planning. The buyer benefit is convenience, clear product access and possibly an explicitly priced discount. Do not market interest, yield, investment returns or increasing token value.

Run the class before the sale

Suggested 90-minute workshop for 10 interested adults and one willing cafe. Participation requires consent; no cafe is currently enrolled and this guide authorizes no outreach or purchase.

0 to 20 minutes

Trace the grower-to-cup chain. Compare dollar credit with five specified cups. Ask each person to explain who owes them delivery.

20 to 40 minutes

Fill the cost worksheet with actual merchant inputs privately. Test inflation, a rush of redemptions, eight unused cups and a two-week closure. Identify who would fund refunds.

40 to 65 minutes

Use paper or synthetic demo receipts. Simulate issue, two partial redemptions, an accidental double scan, a reversal and a refund. Reconcile the total together.

65 to 90 minutes

Read the draft terms aloud. Have participants find the issuer, product, remaining value, cash-out policy and support contact. Record confusion without collecting payments.

Low-cost tools: printed offer sheet, numbered demo receipts and one access-controlled spreadsheet. Use fake names and no payment data for rehearsal. If a reviewed live pilot is later approved, use the merchant's existing payment system rather than building a wallet.

An optional later live ceiling could be $10 \text{ people} \times \$20 = \$200$ and 50 cups total. This is a proposed scope cap, not approval to collect funds. No subscription, token mint, interest, leverage or resale market belongs in the first test.

The decision gates

Progress is earned by evidence. A beautiful marketplace screen is not evidence of merchant capacity, consumer understanding or legal readiness.

GO to a rehearsal

All offers visibly marked DEMO; no payment or wallet flow; source links present; real artwork provenance retained; terms and arithmetic can be explained in ordinary language.

GO to a reviewed tiny pilot

Merchant explicitly consents; local legal and accounting review complete; issuer and unused-value obligations documented; refund liquidity identified; receipt and reversal tests pass; merchant can honor every sold unit without relying on breakage.

STOP or revise

A customer believes the credit is cash, insured savings or an investment; the merchant cannot reconcile balances or explain refunds; economics fail at full redemption; backing is unverifiable; ownership or delivery capacity is uncertain.

GO to network research only

The small pilot demonstrates accurate ledgers, working refunds and satisfied users. Then investigate settlement and regulatory design before advertising multi-merchant acceptance. Financial derivatives remain a separate specialist project.

Measure: reconciliation discrepancies, successful partial redemptions, time to resolve errors, refund completion, remaining obligations and participant comprehension. A proposed pass criterion is zero unexplained balance differences and all 10 participants correctly identifying the issuer and refund route.

Sources and next build

Publish the masterclass and clearly labeled demo on PointCast. Keep checkout disabled. The next decision is whether to invite a merchant to review a rehearsal, not whether to launch a currency.

1. CFTC Futures Market Basics

Explains commodity futures and regulated exchange trading.

2. CFTC and SEC product definitions rule

Forward-contract exclusions require analysis of actual terms and intent.

3. Starbucks fiscal 2025 results

Primary-company financial statement reports stored-value liability.

4. Starbucks Card Terms and Conditions

Prepayment, acceptance, no interest, no FDIC insurance and no expiration.

5. California Civil Code 1749.5

Current cash-out threshold below \$15, operative April 1, 2026; exceptions apply.

6. CFPB Regulation E section 1005.20

Federal gift-card definitions, disclosures, fees and expiration requirements.

7. Official Nouns artwork repository

Authentic numbered Noun source art is used as CC0 reference; no endorsement implied.

Evidence discipline: sources accessed 02 October 2026. Published law and provider terms should be rechecked before a real pilot. Examples and recommendations are original illustrative design, not claims that regulators approved the product or that named companies participate.

Artwork: authentic Noun #0 supplies the mascot reference and Nouns-style artwork context. The dashboard is an AI-generated concept illustration; its mascot is an interpretation, not a new authentic numbered NFT. No NFT ownership or official Nouns endorsement is conveyed.